

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (25 marks – approximately 45 minutes)

Pyramid Limited ("PYL") acquired 450,000 ordinary shares capital of Cubic Limited ("CUL") on 1 October 2018 for a total cash consideration of HK\$4.5 million. At 1 October 2018, PYL obtained control over CUL when the equity of CUL was as follows:

	HK\$
Share capital (600,000 ordinary shares)	3,500,000
General reserve	800,000
Retained earnings	1,254,000

At the date of acquisition, all the identifiable assets and liabilities of CUL were recorded at fair value except for two assets – machinery and inventory. The machinery had a fair value of HK\$200,000 in excess of its carrying amount, and was expected to have a remaining useful life of five years. The inventory had a fair value of HK\$50,000 over its carrying amount and it was all sold out by 30 September 2019, the current year end.

Information about income and changes in equity for PYL and its subsidiary CUL for the year ended 30 September 2019 is as follows:

	PYL HK\$	CUL HK\$
Sales revenue	3,558,600	1,425,400
Less: Cost of goods sold	(1,675,200)	(854,300)
Gross profit	1,883,400	571,100
Less: Depreciation	(330,000)	(160,000)
Other expenses	(108,700)	-
Plus: Other revenues	45,220	39,100
Profit before income tax	1,489,920	450,200
Less: Income tax expense	(264,600)	(85,000)
Net Profit	1,225,320	365,200
Plus: Retained earnings (1/10/18)	4,859,200	1,254,000
Less: Dividend paid	(200,000)	(30,000)
Retained earnings (30/9/19)	5,884,520	1,589,200

On 1 October 2018, PYL also acquired 30% of the share capital of Lotus Limited ("LOL") for HK\$1.8 million cash when the share capital and retained earnings of LOL were HK\$4.5 million and HK\$850,000, respectively. PYL has no control or joint control over LOL, but has significant influence over its financial and operating policy decisions. At 1 October 2018, all the identifiable assets and liabilities of LOL were recorded at fair value, except for a plant which had a carrying amount of HK\$600,000 but was measured at HK\$750,000 in fair value. This plant was assessed to have a remaining 10-year life.

Additional information:

- (i) PYL measures the non-controlling interests in CUL at fair value of HK\$1.5 million.
- (ii) All acquisition valuation adjustments are made on consolidation.
- (iii) All of the companies adopt straight-line depreciation policy on their property, plant and equipment.
- (iv) During the current year, CUL sold inventory to PYL for HK\$260,000. The cost of this inventory was HK\$200,000. By the end of the current year, PYL has only resold 60% of these items to external parties at a profit of HK\$85,000.
- (v) No additional shares have been issued by CUL and LOL since 1 October 2018.
- (vi) For the year ended 30 September 2019, LOL recorded a net profit of HK\$165,400.
- (vii) PYL had no subsidiaries and associates and recorded no goodwill as of 30 September 2018.

Required:

- (a) Prepare the consolidated statement of profit or loss and other comprehensive income for PYL Group for the year ended 30 September 2019 in accordance with HKFRS 10 *Consolidated Financial Statements* and HKAS 28 *Investment in Associates and Joint Ventures*. Ignore the effect of deferred taxation.

(12 marks)

- (b) Compute the balances of the following accounts in the consolidated statement of financial position of PYL Group as of 30 September 2019:

- (1) Investment in CUL.
- (2) Investment in LOL.
- (3) Goodwill.
- (4) Non-controlling interests.

(8 marks)

- (c) Explain how non-controlling interests are measured and presented according to HKFRS 3 *Business Combinations*.

(5 marks)

Question 2 (20 marks – approximately 36 minutes)

Sunlight Cosmetics Limited ("SUL") is a toy manufacturer. SUL manufactures toys in its own plants and distributes the finished products through its own networks. The unadjusted trial balance for SUL at 31 March 2019 is as follows:

	DR HK\$'000	CR HK\$'000
Sales	-	155,400
Costs of goods manufactured in the year to 31 March 2019 (excluding depreciation)	104,500	-
Distribution costs	10,560	-
Administrative expenses	23,120	-
Other expenses	3,400	-
Interest received	-	11,700
8% bank loan interest paid	1,120	-
Land and buildings (including land HK\$60 million)	80,800	-
Plant and equipment	15,220	-
Accumulated depreciation as at 31 March 2018		
Buildings	-	7,560
Plant and equipment	-	3,170
Inventories as at 31 March 2018	6,352	-
Trade receivables	24,830	-
Bank and cash	23,190	-
Ordinary shares, fully paid	-	33,930
7% redeemable preference shares	-	2,600
Revaluation surplus	-	4,635
Retained earnings, 31 March 2018	-	38,637
Ordinary dividends paid	2,500	-
Preference dividends paid	182	-
8% bank loan	-	28,000
Trade payables	-	10,142
	<u>295,774</u>	<u>295,774</u>

Additional information:

- (i) On 31 March 2019, the company is being sued by a supplier for breach of contract. The supplier sued the company for a claim of HK\$10 million. According to the legal opinion, it is highly likely that the company will lose the case and be required to pay the claimed amount. The case will be concluded within the next accounting period.
- (ii) The preference shares will be redeemed for HK\$2,600,000 in 2022. Preference dividends are paid on 31 March each year.
- (iii) Buildings are depreciated on a straight-line basis at a rate of 5% per annum. Depreciation on buildings is classified as administrative expenses.

- (iv) Plant and equipment are depreciated on a diminishing-balance basis at a rate of 20% per annum. Depreciation on plant and equipment is treated as cost of sales.
- (v) The company adopts revaluation model for land and the land was revalued to HK\$64,500,000 on 31 March 2019.
- (vi) At the year end, the company completed its physical count of inventories. The total cost of the closing inventories was valued at HK\$5,680,000. However, some items (with a cost of HK\$700,000) were found to be obsolete. In the past, these items were sold at a gross profit margin of 30%. Due to obsolescence, the company anticipates that these obsolete items can no longer be sold with such margin. It is expected that these obsolete items can now be sold at 60% of the normal selling price through an agent who charges a 10% commission on the sales.
- (vii) The 8% bank loan is a five-year loan due for repayment by 31 March 2023. Interest on this loan is payable semi-annually on 30 September and 31 March. The interest on 31 March 2019 is payable on 25 April 2019.
- (viii) Income tax for the year to 31 March 2019 is estimated at HK\$1,580,000. Ignore deferred tax.

Required:

- (a) Prepare the statement of profit or loss and other comprehensive income for the year ended 31 March 2019 and a statement of financial position at the same date.
(15 marks)
- (b) Explain how the accounting treatments for (i) and (ii) reflect the fundamental qualitative characteristic as stated in the HKICPA *Conceptual Framework for Financial Reporting 2010*.
(5 marks)

Question 3 (10 marks – approximately 18 minutes)

Bob Limited ("BOL") is a toy manufacturer and retailer operating in Hong Kong. During the reporting period ended 31 December 2019, the following events occurred.

Machinery:

BOL decided to revise the useful life and residual value of its machinery due to wear and tear. The machinery was purchased on 1 January 2015 at a cost of HK\$2,600,000. At the time of acquisition, the estimated useful life of the machinery was 10 years and the residual value was HK\$500,000. On 31 December 2018, the estimated useful life was revised from 10 years to 8 years and residual value became HK\$300,000. The machinery is depreciated on a straight-line basis.

Inventory:

BOL changed its inventory valuation method from FIFO to weighted average cost for the purpose of providing more relevant and comparable information to financial statement users. Such change has resulted in the following revision of financial figures:

	For the period ending 31 December 2018	For all periods prior to 2018
Cost of Goods Sold	HK\$600,000 increase	HK\$2,800,000 increase
Inventory	HK\$600,000 decrease	HK\$2,800,000 decrease

The following additional information is also available to BOL:

- Retained earnings at 31 December 2017 was HK\$15,700,000.
- Profit (after taxes) for the year ended 31 December 2018 and 31 December 2019 was HK\$1,430,000 and HK\$1,690,000, respectively.
- The income tax rate is 16.5%.
- No dividends have been declared or paid during the current period.
- Assume all amounts are material.

Required:

In accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*, ignoring deferred tax,

- (a) Explain how BOL should account for the machinery in the preparation of the financial statements for the year ended 31 December 2019. Support your answers with calculations.

(4 marks)

- (b) Explain how BOL should account for the inventory in the preparation of the financial statements for the year ended 31 December 2019. Prepare an extract of the statement of changes in equity for the year ended 31 December 2019 to demonstrate the inventory effects.

(6 marks)

Question 4 (20 marks – approximately 36 minutes)

Wood Property Limited ("WPL") owns a small shopping mall located in Mongkok, Hong Kong. On 1 September 2018, WPL leased a 1,000 square feet of retail space in this shopping mall (space no. 308) to Kaya Limited ("KAL") for four years. The retail space is available for use by KAL on 1 January 2019.

The lease agreement contained the following clauses:

- KAL has exclusive rights to use the retail space throughout the lease term.
- Annual lease payment of HK\$600,000 is payable on 1 January each year.
- The annual payment shall be reviewed at the end of the second year and adjusted by making reference to the Consumer Price Index, which stood at 103 on 1 January 2019. WPL has estimated that the index would become 107 by end of 31 December 2020.
- WPL can request KAL to move to another retail space on condition that there is a similar retail space available. Information reveals that space no. 308 is the only 1,000 square feet retail space in the shopping mall. All other retail spaces are with area much less than 1,000 square feet and are mostly occupied. On average, the rent per square feet of small retail spaces is higher than that of the larger ones.

KAL has incurred some costs associated with the lease, including legal fees of HK\$20,000 to obtain and finalise the lease agreement and real estate agent fees of HK\$50,000 for soliciting the retail space. KAL did not know the exact implicit interest rate of the lease and thus adopted its incremental borrowing rate of 6% per annum.

Required:

- (a) Determine whether the lease agreement above contains a lease under HKFRS 16 Leases. (6 marks)
- (b) On 1 January 2019, the accountant of KAL recorded the lease payment of HK\$600,000 as an expense. Justify whether this accounting treatment is correct under HKFRS 16 Leases. No calculation is required. (3 marks)
- (c) Prepare journal entries for KAL to record the lease during the year ended 31 December 2019 under HKFRS 16 Leases. (11 marks)

Question 5 (5 marks – approximately 9 minutes)

Heron Limited ("HEL") is a software development company. It has a pioneered product which is an inventory management software for consumer goods enterprises in Hong Kong. This software is hosted in the physical servers at HEL's office. Clients can operate the software through a direct network association with HEL and in connection with the customised hardware provided by HEL.

Apart from software hosting services, HEL also offers professional supporting services to its clients. These professional supporting services are offered to all kinds of clients, including those who do not use HEL's hosted software.

When a client ordered the inventory management software from HEL, the purchase contract typically consists of three components – the hardware, the hosting services and the professional supporting services.

Required:

With reference to HKFRS 15 *Revenue from Contracts with Customers*, identify the performance obligation(s) in the purchase contract of the inventory management software.

(5 marks)

* * * END OF EXAMINATION PAPER * * *